IB Economics - Topic 3.7: Teacher and AI Grading Guide

Supply-Side Policies | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. All 50 questions cover SL and HL content. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Market-based competition, labour and tax reforms, interventionist education, health, R&D, infrastructure and industrial policies; AD/AS and minimum-wage diagrams. All shared SL/HL.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for underlying explanations and terminology. Its older syllabus sequence does not set the limits of this current Topic 3.7.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Goals: 6 pairs

Competition: 9 pairs

Labour market: 6 pairs

Incentives: 6 pairs

Education health: 5 pairs

Infrastructure R&D: 6 pairs

Policy comparison: 12 pairs

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Require diagrams when expressly requested and accept an economically equivalent correctly labelled representation. Verify axes, initial and final equilibria and the stated causal shift. In numerical questions, verify method, units and interpretation; allow correct alternative calculations. Do not award a correct final number after an invalid method without examining the work.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 3.7: Goals

(a) [10] Using an AD/AS diagram, explain how supply-side policies may raise potential output.

(b) [15] Using real-world examples, evaluate whether an outward LRAS shift guarantees growth in actual output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Supply-side policies seek higher productive capacity, efficiency, employment, lower cost pressure and competitiveness.

Required reasoning. Higher productivity or factor supply shifts LRAS right; sufficient demand is needed to realise it.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher productivity or factor supply shifts LRAS right; sufficient demand is needed to realise it.

Counterargument and conditions. Supply improvement can take years, and additional capacity need not immediately be used.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 3.7: Goals

(a) [10] Explain how greater competition may improve productive efficiency.

(b) [15] Using real-world examples, discuss whether more competition always reduces prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Supply-side policies seek higher productive capacity, efficiency, employment, lower cost pressure and competitiveness.

Required reasoning. Competitive pressure can cut costs, but scale economies and market conditions matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Competitive pressure can cut costs, but scale economies and market conditions matter.

Counterargument and conditions. Supply improvement can take years, and additional capacity need not immediately be used.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 3.7: Goals

(a) [10] Explain how labour-market flexibility may affect structural unemployment.

(b) [15] Using real-world examples, evaluate whether flexible wages alone can solve skills mismatch.

Part (a) - Indicative answer and marking guidance

Essential concepts. Supply-side policies seek higher productive capacity, efficiency, employment, lower cost pressure and competitiveness.

Required reasoning. Easier adjustment may improve matching, but skills and geographical barriers persist.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Easier adjustment may improve matching, but skills and geographical barriers persist.

Counterargument and conditions. Supply improvement can take years, and additional capacity need not immediately be used.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 3.7: Goals

(a) [10] Using an AD/AS diagram, explain how higher productivity can reduce inflationary pressure.

(b) [15] Using real-world examples, discuss whether supply-side policy can stabilise prices quickly.

Part (a) - Indicative answer and marking guidance

Essential concepts. Supply-side policies seek higher productive capacity, efficiency, employment, lower cost pressure and competitiveness.

Required reasoning. Higher capacity shifts AS right, easing cost pressure, though many reforms take time.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher capacity shifts AS right, easing cost pressure, though many reforms take time.

Counterargument and conditions. Supply improvement can take years, and additional capacity need not immediately be used.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 3.7: Goals

(a) [10] Explain how lower production costs can influence international competitiveness.

(b) [15] Using real-world examples, evaluate whether low costs are sufficient for export success.

Part (a) - Indicative answer and marking guidance

Essential concepts. Supply-side policies seek higher productive capacity, efficiency, employment, lower cost pressure and competitiveness.

Required reasoning. Lower unit costs may reduce prices, but quality, exchange rates and demand also matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower unit costs may reduce prices, but quality, exchange rates and demand also matter.

Counterargument and conditions. Supply improvement can take years, and additional capacity need not immediately be used.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 3.7: Goals

(a) [10] Explain how greater incentives to innovate can raise long-term productive capacity.

(b) [15] Using real-world examples, discuss whether tax incentives always generate useful research.

Part (a) - Indicative answer and marking guidance

Essential concepts. Supply-side policies seek higher productive capacity, efficiency, employment, lower cost pressure and competitiveness.

Required reasoning. Innovation may raise productivity, contingent on additionality and commercial adoption.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Innovation may raise productivity, contingent on additionality and commercial adoption.

Counterargument and conditions. Supply improvement can take years, and additional capacity need not immediately be used.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 3.7: Competition

(a) [10] Explain how deregulation may reduce barriers to entry.

(b) [15] Using real-world examples, evaluate whether removing regulations always improves efficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deregulation, privatisation, trade liberalisation and anti-monopoly rules can strengthen incentives and allocation, with risks.

Required reasoning. Entry can strengthen rivalry, while some regulations protect safety, consumers and the environment.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Entry can strengthen rivalry, while some regulations protect safety, consumers and the environment.

Counterargument and conditions. Scale economies and safety or environmental standards may justify some limits on rivalry.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 3.7: Competition

(a) [10] Explain how privatisation may change a firm's incentives to control costs.

(b) [15] Using real-world examples, discuss whether private ownership necessarily improves performance.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deregulation, privatisation, trade liberalisation and anti-monopoly rules can strengthen incentives and allocation, with risks.

Required reasoning. Profit incentives can encourage efficiency but weak competition may leave high prices.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Profit incentives can encourage efficiency but weak competition may leave high prices.

Counterargument and conditions. Scale economies and safety or environmental standards may justify some limits on rivalry.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 3.7: Competition

(a) [10] Explain how trade liberalisation can increase competition for domestic firms.

(b) [15] Using real-world examples, evaluate whether greater import competition always benefits workers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deregulation, privatisation, trade liberalisation and anti-monopoly rules can strengthen incentives and allocation, with risks.

Required reasoning. Competition can raise efficiency and lower prices, while some industries shed labour.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Competition can raise efficiency and lower prices, while some industries shed labour.

Counterargument and conditions. Scale economies and safety or environmental standards may justify some limits on rivalry.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 3.7: Competition

(a) [10] Explain how anti-monopoly regulation can affect market power.

(b) [15] Using real-world examples, discuss whether tougher competition rules necessarily stimulate investment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deregulation, privatisation, trade liberalisation and anti-monopoly rules can strengthen incentives and allocation, with risks.

Required reasoning. Limits on abusive conduct may help entry, though uncertain rules may alter incentives.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Limits on abusive conduct may help entry, though uncertain rules may alter incentives.

Counterargument and conditions. Scale economies and safety or environmental standards may justify some limits on rivalry.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 3.7: Competition

(a) [10] Explain why privatisation without competition may fail to improve resource allocation.

(b) [15] Using real-world examples, evaluate whether public ownership is preferable in a natural monopoly.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deregulation, privatisation, trade liberalisation and anti-monopoly rules can strengthen incentives and allocation, with risks.

Required reasoning. A private monopoly retains pricing power; ownership and regulation both matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A private monopoly retains pricing power; ownership and regulation both matter.

Counterargument and conditions. Scale economies and safety or environmental standards may justify some limits on rivalry.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 3.7: Competition

(a) [10] Using an AD/AS diagram, explain how successful deregulation could change long-run output.

(b) [15] Using real-world examples, discuss whether deregulation always shifts LRAS outward.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deregulation, privatisation, trade liberalisation and anti-monopoly rules can strengthen incentives and allocation, with risks.

Required reasoning. Lower compliance barriers can raise efficiency; removal of useful safeguards can impose costs.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower compliance barriers can raise efficiency; removal of useful safeguards can impose costs.

Counterargument and conditions. Scale economies and safety or environmental standards may justify some limits on rivalry.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 3.7: Competition

(a) [10] Explain why trade liberalisation may change the allocation of resources among industries.

(b) [15] Using real-world examples, evaluate whether efficiency gains compensate those losing jobs.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deregulation, privatisation, trade liberalisation and anti-monopoly rules can strengthen incentives and allocation, with risks.

Required reasoning. Import competition moves resources toward relative strengths; transition costs can be substantial.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Import competition moves resources toward relative strengths; transition costs can be substantial.

Counterargument and conditions. Scale economies and safety or environmental standards may justify some limits on rivalry.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 3.7: Competition

(a) [10] Explain how a fall in barriers to entry can influence firms' productivity.

(b) [15] Using real-world examples, discuss whether small entrants always outperform large incumbents.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deregulation, privatisation, trade liberalisation and anti-monopoly rules can strengthen incentives and allocation, with risks.

Required reasoning. Competitive selection can spur innovation, but incumbents may have scale advantages.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Competitive selection can spur innovation, but incumbents may have scale advantages.

Counterargument and conditions. Scale economies and safety or environmental standards may justify some limits on rivalry.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 3.7: Competition

(a) [10] Explain why anti-monopoly policy may be considered a supply-side intervention.

(b) [15] Using real-world examples, evaluate whether greater market rivalry alone ensures higher potential output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deregulation, privatisation, trade liberalisation and anti-monopoly rules can strengthen incentives and allocation, with risks.

Required reasoning. Competition can increase efficiency and innovation but productive capacity also needs skills and capital.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Competition can increase efficiency and innovation but productive capacity also needs skills and capital.

Counterargument and conditions. Scale economies and safety or environmental standards may justify some limits on rivalry.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 3.7: Labour market

(a) [10] Using a labour-market diagram, explain the potential employment effect of abolishing a binding minimum wage.

(b) [15] Using real-world examples, discuss whether removal necessarily increases employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market-based labour reforms change wage and employment incentives; minimum-wage effects are model-dependent.

Required reasoning. Removing a binding floor can increase labour demanded in a competitive model; monopsony and income effects complicate it.

Expected diagram or calculation. Wage rate vertically and labour quantity horizontally, downward labour demand and upward labour supply. Mark competitive equilibrium, a binding minimum wage above it, quantity demanded/supplied and potential excess labour supply; note that actual employment effects may differ with employer power.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes labour market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Removing a binding floor can increase labour demanded in a competitive model; monopsony and income effects complicate it.

Counterargument and conditions. Monopsony, skill mismatch and worker welfare complicate the competitive wage model.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 3.7: Labour market

(a) [10] Explain how reducing unemployment benefits might affect incentives to seek work.

(b) [15] Using real-world examples, evaluate whether lower benefits always reduce unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market-based labour reforms change wage and employment incentives; minimum-wage effects are model-dependent.

Required reasoning. Lower replacement income may raise search intensity but harm matching and demand.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes labour market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower replacement income may raise search intensity but harm matching and demand.

Counterargument and conditions. Monopsony, skill mismatch and worker welfare complicate the competitive wage model.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 3.7: Labour market

(a) [10] Explain how reducing union bargaining power might alter wages and employment.

(b) [15] Using real-world examples, discuss whether weaker unions always improve efficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market-based labour reforms change wage and employment incentives; minimum-wage effects are model-dependent.

Required reasoning. Lower wage pressure may reduce costs, but bargaining can support retention, training and worker welfare.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes labour market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower wage pressure may reduce costs, but bargaining can support retention, training and worker welfare.

Counterargument and conditions. Monopsony, skill mismatch and worker welfare complicate the competitive wage model.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 3.7: Labour market

(a) [10] Explain why labour-market flexibility may help firms respond to changes in demand.

(b) [15] Using real-world examples, evaluate whether flexibility is always desirable for employees.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market-based labour reforms change wage and employment incentives; minimum-wage effects are model-dependent.

Required reasoning. Easier adjustment reduces hiring risk while job insecurity can lower welfare and productivity.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes labour market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Easier adjustment reduces hiring risk while job insecurity can lower welfare and productivity.

Counterargument and conditions. Monopsony, skill mismatch and worker welfare complicate the competitive wage model.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 3.7: Labour market

(a) [10] Explain how labour-market reforms may lower unit labour costs.

(b) [15] Using real-world examples, discuss whether lower labour costs necessarily increase international competitiveness.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market-based labour reforms change wage and employment incentives; minimum-wage effects are model-dependent.

Required reasoning. Wages relative to productivity drive unit costs; quality and exchange rates also matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes labour market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Wages relative to productivity drive unit costs; quality and exchange rates also matter.

Counterargument and conditions. Monopsony, skill mismatch and worker welfare complicate the competitive wage model.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 3.7: Labour market

(a) [10] Explain why reducing employment protections may influence firms' willingness to hire.

(b) [15] Using real-world examples, evaluate whether the reform must lower structural unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market-based labour reforms change wage and employment incentives; minimum-wage effects are model-dependent.

Required reasoning. Lower expected dismissal costs may encourage hiring, but also weaken security and training incentives.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes labour market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower expected dismissal costs may encourage hiring, but also weaken security and training incentives.

Counterargument and conditions. Monopsony, skill mismatch and worker welfare complicate the competitive wage model.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 3.7: Incentives

(a) [10] Explain how a reduction in personal income-tax rates may affect incentives to supply labour.

(b) [15] Using real-world examples, discuss whether lower tax rates always increase hours worked.

Part (a) - Indicative answer and marking guidance

Essential concepts. Personal, business and capital-gains taxes can alter work, investment and innovation incentives and may affect AD.

Required reasoning. After-tax reward rises, with substitution and income effects that may offset.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes incentives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. After-tax reward rises, with substitution and income effects that may offset.

Counterargument and conditions. Income and substitution effects, fiscal cost and windfall benefits can undermine projected supply changes.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 3.7: Incentives

(a) [10] Explain how lower business taxes may affect investment and LRAS.

(b) [15] Using real-world examples, evaluate whether tax cuts for firms reliably raise productivity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Personal, business and capital-gains taxes can alter work, investment and innovation incentives and may affect AD.

Required reasoning. Higher after-tax returns can encourage capital formation, conditional on expected sales and fiscal costs.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes incentives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher after-tax returns can encourage capital formation, conditional on expected sales and fiscal costs.

Counterargument and conditions. Income and substitution effects, fiscal cost and windfall benefits can undermine projected supply changes.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 3.7: Incentives

(a) [10] Explain how a lower capital-gains tax might influence entrepreneurial investment.

(b) [15] Using real-world examples, discuss whether such a tax cut always increases innovation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Personal, business and capital-gains taxes can alter work, investment and innovation incentives and may affect AD.

Required reasoning. Higher after-tax rewards may change risk-taking, but windfall gains and unequal benefits may dominate.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes incentives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher after-tax rewards may change risk-taking, but windfall gains and unequal benefits may dominate.

Counterargument and conditions. Income and substitution effects, fiscal cost and windfall benefits can undermine projected supply changes.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 3.7: Incentives

(a) [10] Explain why a tax cut can initially shift AD as well as influence long-run AS.

(b) [15] Using real-world examples, evaluate whether a tax cut should be classified as purely supply-side.

Part (a) - Indicative answer and marking guidance

Essential concepts. Personal, business and capital-gains taxes can alter work, investment and innovation incentives and may affect AD.

Required reasoning. Disposable income or profits raise spending now, while labour or investment incentives may alter capacity later.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes incentives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Disposable income or profits raise spending now, while labour or investment incentives may alter capacity later.

Counterargument and conditions. Income and substitution effects, fiscal cost and windfall benefits can undermine projected supply changes.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 3.7: Incentives

(a) [10] Explain why the response of labour supply to a tax cut is uncertain.

(b) [15] Using real-world examples, discuss whether economic growth follows automatically from lower income taxes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Personal, business and capital-gains taxes can alter work, investment and innovation incentives and may affect AD.

Required reasoning. Some work more as reward rises; others consume more leisure and public revenue may fall.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes incentives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Some work more as reward rises; others consume more leisure and public revenue may fall.

Counterargument and conditions. Income and substitution effects, fiscal cost and windfall benefits can undermine projected supply changes.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 3.7: Incentives

(a) [10] Explain how lower business taxes may change the government budget while supporting firm investment.

(b) [15] Using real-world examples, evaluate whether the growth effect is likely to pay for the tax cut.

Part (a) - Indicative answer and marking guidance

Essential concepts. Personal, business and capital-gains taxes can alter work, investment and innovation incentives and may affect AD.

Required reasoning. Revenue falls initially; extra activity may partially offset but cannot be assumed sufficient.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes incentives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Revenue falls initially; extra activity may partially offset but cannot be assumed sufficient.

Counterargument and conditions. Income and substitution effects, fiscal cost and windfall benefits can undermine projected supply changes.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 3.7: Education health

(a) [10] Explain how improving access to education can shift long-run aggregate supply.

(b) [15] Using real-world examples, evaluate whether education spending always increases productivity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Education, training and health improve human capital over time, subject to access and quality.

Required reasoning. Skills can improve worker output, subject to teaching quality, matching and time lags.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes education health from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Skills can improve worker output, subject to teaching quality, matching and time lags.

Counterargument and conditions. Returns depend on quality, access, complementary jobs and time.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 3.7: Education health

(a) [10] Explain how vocational training might reduce structural unemployment.

(b) [15] Using real-world examples, discuss whether retraining is sufficient for displaced workers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Education, training and health improve human capital over time, subject to access and quality.

Required reasoning. New skills improve matching, but location, employer demand and completion rates matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes education health from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. New skills improve matching, but location, employer demand and completion rates matter.

Counterargument and conditions. Returns depend on quality, access, complementary jobs and time.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 3.7: Education health

(a) [10] Explain how improved health care can affect the quality of labour.

(b) [15] Using real-world examples, evaluate whether health spending should be treated only as a social objective.

Part (a) - Indicative answer and marking guidance

Essential concepts. Education, training and health improve human capital over time, subject to access and quality.

Required reasoning. Better health may raise participation and productivity, as well as well-being.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes education health from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Better health may raise participation and productivity, as well as well-being.

Counterargument and conditions. Returns depend on quality, access, complementary jobs and time.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 3.7: Education health

(a) [10] Explain why the supply-side benefits of early childhood education may take years to emerge.

(b) [15] Using real-world examples, discuss whether long time lags make such programmes ineffective.

Part (a) - Indicative answer and marking guidance

Essential concepts. Education, training and health improve human capital over time, subject to access and quality.

Required reasoning. Human capital develops over time and quality determines returns; short budgets may miss long benefits.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes education health from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Human capital develops over time and quality determines returns; short budgets may miss long benefits.

Counterargument and conditions. Returns depend on quality, access, complementary jobs and time.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 3.7: Education health

(a) [10] Explain how unequal access to training can affect the distributional impact of supply-side policy.

(b) [15] Using real-world examples, evaluate whether training subsidies reach workers who need them most.

Part (a) - Indicative answer and marking guidance

Essential concepts. Education, training and health improve human capital over time, subject to access and quality.

Required reasoning. Access barriers and employer selection can skew benefits toward already advantaged groups.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes education health from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Access barriers and employer selection can skew benefits toward already advantaged groups.

Counterargument and conditions. Returns depend on quality, access, complementary jobs and time.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 3.7: Infrastructure R&D

(a) [10] Explain how better transport infrastructure can raise an economy's productive capacity.

(b) [15] Using real-world examples, evaluate whether a large project necessarily raises national productivity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Public infrastructure, industrial support and research can raise productivity while using scarce budget resources.

Required reasoning. Lower travel and logistics costs support output, but demand and project selection matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes infrastructure r&d from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower travel and logistics costs support output, but demand and project selection matter.

Counterargument and conditions. Poorly selected projects or displacement of private efforts can lower the net productivity gain.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 3.7: Infrastructure R&D

(a) [10] Explain how public support for research and development can affect technological progress.

(b) [15] Using real-world examples, discuss whether governments can identify the most productive innovations.

Part (a) - Indicative answer and marking guidance

Essential concepts. Public infrastructure, industrial support and research can raise productivity while using scarce budget resources.

Required reasoning. R&D may generate spillovers and LRAS growth; selection and displacement of private spending are risks.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes infrastructure r&d from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. R&D may generate spillovers and LRAS growth; selection and displacement of private spending are risks.

Counterargument and conditions. Poorly selected projects or displacement of private efforts can lower the net productivity gain.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 3.7: Infrastructure R&D

(a) [10] Explain how digital infrastructure may reduce production costs across several industries.

(b) [15] Using real-world examples, evaluate whether broadband expansion automatically raises employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Public infrastructure, industrial support and research can raise productivity while using scarce budget resources.

Required reasoning. Connectivity can improve coordination, but adoption, skills and sector change matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes infrastructure r&d from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Connectivity can improve coordination, but adoption, skills and sector change matter.

Counterargument and conditions. Poorly selected projects or displacement of private efforts can lower the net productivity gain.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 3.7: Infrastructure R&D

(a) [10] Explain how an industrial policy can support a strategically important sector.

(b) [15] Using real-world examples, discuss whether selective support is likely to improve efficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Public infrastructure, industrial support and research can raise productivity while using scarce budget resources.

Required reasoning. Targeted finance or infrastructure can build capacity, but capture and misallocation are possible.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes infrastructure r&d from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Targeted finance or infrastructure can build capacity, but capture and misallocation are possible.

Counterargument and conditions. Poorly selected projects or displacement of private efforts can lower the net productivity gain.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 3.7: Infrastructure R&D

(a) [10] Explain why maintaining existing public infrastructure can be a supply-side policy.

(b) [15] Using real-world examples, evaluate whether maintenance may outperform new construction.

Part (a) - Indicative answer and marking guidance

Essential concepts. Public infrastructure, industrial support and research can raise productivity while using scarce budget resources.

Required reasoning. Reliability reduces downtime and preserves capacity; compare marginal returns and visibility biases.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes infrastructure r&d from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reliability reduces downtime and preserves capacity; compare marginal returns and visibility biases.

Counterargument and conditions. Poorly selected projects or displacement of private efforts can lower the net productivity gain.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 3.7: Infrastructure R&D

(a) [10] Explain how a research grant can affect both aggregate demand and long-run aggregate supply.

(b) [15] Using real-world examples, discuss whether public R&D spending necessarily creates additional innovation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Public infrastructure, industrial support and research can raise productivity while using scarce budget resources.

Required reasoning. Grant spending adds to AD; successful research raises potential, but private displacement is possible.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes infrastructure r&d from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Grant spending adds to AD; successful research raises potential, but private displacement is possible.

Counterargument and conditions. Poorly selected projects or displacement of private efforts can lower the net productivity gain.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain one difference between market-based and interventionist supply-side policies.

(b) [15] Using real-world examples, evaluate which approach is more likely to raise productivity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Market reforms alter incentives and competition; intervention builds skills or infrastructure, with context-specific limits.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Market reforms alter incentives and competition; intervention builds skills or infrastructure, with context-specific limits.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Using an AD/AS diagram, explain why supply-side policies may have disinflationary effects.

(b) [15] Using real-world examples, discuss whether disinflation requires weaker aggregate demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. AS right raises output while easing prices if gains materialise, unlike demand contraction.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AS right raises output while easing prices if gains materialise, unlike demand contraction.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain why a supply-side policy may help growth but worsen income inequality.

(b) [15] Using real-world examples, evaluate whether efficiency gains justify distributional costs.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Some tax and labour reforms raise incentives yet benefit high earners disproportionately.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Some tax and labour reforms raise incentives yet benefit high earners disproportionately.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain why interventionist supply-side policies impose an opportunity cost on the public budget.

(b) [15] Using real-world examples, discuss whether their cost makes them less effective than market-based reforms.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Funds used for training or infrastructure have alternative uses; market reforms may also entail hidden costs.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Funds used for training or infrastructure have alternative uses; market reforms may also entail hidden costs.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain how environmental harm can limit the benefits of some market-based reforms.

(b) [15] Using real-world examples, evaluate whether deregulation must conflict with sustainable growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Output gains can be offset by unpriced pollution if safeguards are removed.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Output gains can be offset by unpriced pollution if safeguards are removed.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain why vested interests can delay supply-side reforms.

(b) [15] Using real-world examples, discuss whether political opposition means a reform lacks economic merit.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Groups facing losses may resist, while compensation and design affect feasibility and welfare.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Groups facing losses may resist, while compensation and design affect feasibility and welfare.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain how interventionist policy can complement a competitive market reform.

(b) [15] Using real-world examples, evaluate whether combined supply-side policies work better than a single reform.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Competition rewards efficiency while skills and infrastructure permit firms to respond.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Competition rewards efficiency while skills and infrastructure permit firms to respond.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain why supply-side policies cannot necessarily end a recession quickly.

(b) [15] Using real-world examples, discuss whether policies that raise LRAS should replace short-run demand management.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Training and capital take time; deficient AD can leave current capacity idle.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Training and capital take time; deficient AD can leave current capacity idle.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain why the effects of supply-side reforms on employment depend on the skills of displaced workers.

(b) [15] Using real-world examples, evaluate whether productivity improvements always lower unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Sector reallocation can create opportunities and transitional unemployment; matching determines net employment.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Sector reallocation can create opportunities and transitional unemployment; matching determines net employment.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Using an AD/AS diagram, explain how a fiscal measure could raise both AD and long-run aggregate supply.

(b) [15] Using real-world examples, discuss whether spending on education and infrastructure should be judged only by its short-run stimulus.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Public investment shifts AD initially and can shift LRAS over time if it raises productivity.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Public investment shifts AD initially and can shift LRAS over time if it raises productivity.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain why a rise in labour productivity need not cause wages to rise by the same percentage.

(b) [15] Using real-world examples, evaluate whether productivity growth automatically improves the living standards of workers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Returns to productivity depend on bargaining and distribution; more output per worker need not translate fully into pay.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Returns to productivity depend on bargaining and distribution; more output per worker need not translate fully into pay.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | SL/HL | 25 marks

Topic 3.7: Policy comparison

(a) [10] Explain how a cut in business taxes might initially worsen the fiscal balance but later expand the tax base.

(b) [15] Using real-world examples, discuss whether a supply-side tax reform can be judged solely by its immediate revenue loss.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interventionist and market-based policies have distinct time lags, costs, equity and environmental effects; other demand changes matter.

Required reasoning. Lower rates reduce receipts initially; investment and earnings responses may broaden the base, with uncertain magnitude.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower rates reduce receipts initially; investment and earnings responses may broaden the base, with uncertain magnitude.

Counterargument and conditions. Equity, budget costs, time lags, political opposition and environmental impact affect the ranking.

Application and real-world example. OECD reporting on Germany’s vocational education system provides a training-policy example; compare documented employment outcomes without attributing them solely to training. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Economics guide, first assessment 2022, Unit 3 Topic 3.7; current syllabus scope and level boundaries.

Open source

OECD. Well-being and skills context for evaluating outcomes.

Open source

IMF. Growth, inflation and unemployment outcomes for country examples.

Open source

OECD Germany. German vocational training system.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; All 50 questions cover SL and HL content. The student paper contains no answers or difficulty labels.